10.7.8 Sinking fund method

This method is adopted especially when it is desired not merely to write off an asset but also to provide enough funds to replace an asset at the end of its working life. Under this method, the amount charged as depreciation is transferred to depreciation fund and invested outside the business. The investment is made in safe securities which offer a certain rate of interest. Interest is received annually and reinvested every year along with the amount of annual depreciation. On the expiry of the life of the asset, the investments are sold and the sale proceeds are used for replacement of the asset. This method of depreciation is suitable for assets of higher value. This method is also known as depreciation fund method. Thus, this method not only takes into account depreciation but also makes provision for the replacement of the asset.

10.7.9 Insurance policy method

Under this method, an insurance policy is taken for an amount equal to the cost of replacement of the asset. The amount of depreciation is paid by way of insurance premium every year to the insurance company. On maturity of the policy, the policy amount is received from the insurance company and it is used for the purchase of new asset.



The process of allocating the cost of an intangible asset over a period of time is called amortisation.

10.8 Methods of recording depreciation

There are two methods followed to record depreciation.

(i) Charging depreciation to asset account

(ii) Charging depreciation to provision for depreciation account.

10.8.1 Charging depreciation to asset account

Under this method at the end of every accounting period, the amount of depreciation charged is debited to depreciation account and the amount of depreciation is credited to asset account. Hence the asset appears in the balance sheet at its depreciated value. Depreciation being revenue charge is transferred to profit and loss account.

The following journal entries are to be passed in the books for depreciation and related transactions:

(a) For purchase of asset

Asset A/c	Dr.	xxx	
To Bank A/c			xxx

(b) For providing depreciation at the end of the accounting year

Depreciation A/c	Dr.	xxx	
To Asset A/c			xxx

(c) For closing the depreciation account

Profit and loss A/c	Dr.	xxx	
To Depreciation A/c			xxx

(d) For sale of asset

Bank A/c	Dr.	xxx	
Profit and loss* A/c	Dr.	xxx	
To Asset A/c			xxx

*__Note__: Profit and loss A/c will be credited if there is profit on sale.

Accountancy Unit-10.indd 214 12/12/2021 6:19:17 PM